

Nepal Water Supply Corporation Act, 1989

Document type: act

Source: Nepal Law Commission / Ministry of Law, Justice and Parliamentary Affairs

Chunks merged: 11

Nepal Water Supply Corporation Act, 2046

Royal Seal and Publication Date

2046.07.11

Amending Acts

1. Administration of Justice Act, 2048 2048.02.16
2. Nepal Water Supply Corporation (First Amendment) Act, 2049 2049.06.14
3. Nepal Water Supply Corporation (Second Amendment) Act, 2057 2057.08.21

Certification and Publication Date

4. Nepal Water Supply Corporation (Third Amendment) Act, 2063 2063.09.30
5. This Act has come into force from the 15th day of Jeth of the year 2065. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 2066.10.07
6. Some Nepal Acts Amendment Act, 2072 2072.11.13
7. This Act has come into force from the 1st day of Bhadra of the year 2075. Some Nepal Laws Amendment, Consolidation, Adjustment and Repeal Act, 2074 2074.06.30
8. Some Nepal Acts Amendment Act, 2082 2082.04.14

Act No. 23 of the year 2046

An Act Made to Establish and Make Provision for Nepal Water Supply Corporation

Preamble: Whereas, in order to regularly supply clean drinking water in various areas of Nepal Removed by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. and to make proper arrangement for the drainage system to maintain the health and convenience of the general public, it is desirable to establish and operate a Nepal Water Supply Corporation,-

Now, therefore, His Majesty King Birendra Bir Bikram Shah Dev has enacted this Act on the advice and with the consent of the National Panchayat. 1. Short Title and Commencement: (1) This Act may be called the "Nepal Water Supply Corporation Act, 2046".

(2) This Act shall come into force from the date appointed by the Government of Nepal by notification published in the Nepal Gazette This Act is appointed to come into force from the date 2046.11.15 (Nepal Gazette dated 2046.11.15).. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

2.1 "Corporation" means the Nepal Water Supply Corporation established pursuant to Section 3. 2.2 "Committee" means the Board of Directors constituted pursuant to Section 8. Amended by the First Amendment. 2.3 "Chairperson" means the Chairperson of the Corporation appointed or designated pursuant to Section 11. Added by the Second Amendment. 2.3A "Institution" means an organized institution established pursuant to the prevailing law. Added by the Third Amendment. 2.3B "Service System" means a

reservoir constructed for the delivery of drinking water service, a water treatment or purification plant connected to such reservoir, pipes installed for water supply, a wastewater treatment plant, a drainage system constructed for the arrangement of drainage, equipment, or other structures of a similar nature, and said term also includes a house or land connected to the drinking water service or drainage service. Added by the Third Amendment.

2.3C "Board" means the Board established pursuant to the Water Supply Management Board Act, 2063. Amended by the First Amendment. 2.4 "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules or regulations made under this Act. 3. Establishment of Corporation: 3.1 Removed by the Third Amendment. The Government of Nepal has Amended by the Third Amendment. established the Nepal Water Supply Corporation for the purpose of regularly supplying clean drinking water and making proper arrangement for the drainage system in the area appointed by notification published in the Nepal Gazette. 3.2 The principal office of the Corporation shall be located in the Kathmandu Valley. 3.3 Other offices of the Corporation may be located in any place of Nepal Removed by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. as required. 4. Corporation to be a Body Corporate: 4.1 The Corporation shall be an autonomous and body corporate with perpetual succession. 4.2 The Corporation shall have its own separate seal. 4.3 The Corporation may, like a person, acquire, use, sell, or otherwise dispose of movable and immovable property. 4.4 The Corporation may, like a person, sue and be sued in its own name. 5.

Functions, Duties and Powers of Corporation: 5.1 The functions, duties and powers of the Corporation shall be as follows:- 5.1.1 To formulate plans relating to drinking water and drainage and to implement or cause to implement plans, 5.1.2 To carry out studies, research and surveys relating to sources and distribution of drinking water and drainage, 5.1.3 To determine and demarcate the route from the source of drinking water to the point of distribution, 5.1.4 To carry out or cause to carry out construction works required for works relating to drinking water and drainage, 5.1.5 To carry out works required to be completed pursuant to agreements made between the Government of Nepal and foreign governments or international or foreign institutions relating to drinking water and drainage, 5.1.6 To operate development projects relating to drinking water and drainage as designated by the Government of Nepal, 5.1.7 To provide services by making available the facility of drinking water or drainage by collecting tariffs, fees, etc., 5.1.8 To prescribe necessary conditions relating to the use of drinking water and the use of drainage, 5.1.9 To prevent misuse of drinking water, 5.1.10 To control pollution of drinking water, 5.1.11 To carry out or cause to carry out necessary repair and maintenance of drinking water and drainage pipelines, 5.1.12 If information is received by the Corporation that water is not coming from a tap for any reason, to carry out necessary repairs and make the service available as soon as possible, 5.1.13 To meet its own operating expenses, 5.1.14 To carry out or cause to carry out other works necessary for the fulfillment of the objectives of the Corporation. Added by the Second Amendment. 5A. Certain Works Done or to be Done by the Corporation May be Contracted Out: Amended by the Third Amendment. 5A.1 Notwithstanding anything elsewhere contained in this Act, if the Corporation wishes to contract out the operation and management of a service system which it is operating and managing pursuant to this Act to an institution in which the Government of Nepal and local body have at least eighty percent shares, or to a non-profit institution, or to a consumer institution, the Corporation may, with the prior approval of the Government of Nepal, contract out such service system owned by the Corporation and the structures, equipment and other related property to such institution.

5A.2 The structures, equipment and property owned by or under the custody of the Corporation which the contracting institution pursuant to Sub-section (5A.1) may use, the duration of the contract, the consideration receivable by the contracting parties, and other related matters shall be as mentioned in the contract. 5A.3

Any structure, equipment or property owned by or under the custody of the Corporation used by the contracting institution pursuant to Sub-section (5A.1) shall be returned to the Corporation after the expiry of the contract period according to the conditions specified in the contract. 5A.4 An arrangement given for the performance of work by contract pursuant to Sub-section (5A.1) shall not be deemed to have been privatized under the Privatization Act, 2050. Amended by the Third Amendment. 5B. Ownership of Service System May be Transferred:

5B.1 Notwithstanding anything elsewhere contained in this Act, if the Government of Nepal considers it appropriate and necessary to make proper arrangement for drinking water and drainage by transferring the service system of any area which the Corporation is operating and managing pursuant to this Act to the Board, it may transfer or cause to transfer the ownership of the service system of such area to that Board.

5B.2 While transferring or causing to transfer the ownership of a service system pursuant to Sub-section (5B.1), the Government of Nepal may, after evaluating the service system the ownership of which is so transferred and related property as prescribed, also transfer a liability equivalent to the value of such service system to such Board. 5B.3 If the ownership of a service system is transferred pursuant to Sub-section (5B.1), the responsibility for providing drinking water in the concerned area and for carrying out works relating to drainage, and for maintenance, conservation, operation and management of the service system shall be of the Board to which the ownership is so transferred. Added by the Second Amendment. 5C. Tax and Duty Exemption and Exchange Facility May be Granted:

The Government of Nepal may, by notification published in the Nepal Gazette, grant exemption from income tax, customs or any other duties and provide foreign currency exchange facility to an institution contracting pursuant to Section 5A for the works mentioned in the contract. Added by the Third Amendment. 5D. Special Provision Relating to Employees:

5D.1 Upon entering into a contract pursuant to Section 5A, the Corporation may, for the duration mentioned in the contract, depute employees working in the Corporation at the time of such contract to such institution, with remuneration and facilities being provided by the institution taking over the service system under the contract.

Provided that, if such institution does not wish to take the employees of the Corporation associated with the service system taken under the contract, or if such employees do not wish to work in that institution, the Corporation may assign such employees to other work of the Corporation or, on the basis of prescribed criteria, may retire such employees from service by providing gratuity as prescribed, without reducing the facilities entitled to them under the law relating to their terms of service. 5D.2 If the ownership of any service system of the Corporation is transferred to a Board pursuant to Section 5B, necessary arrangement may be made for the employees of the Corporation associated with such service system to be in the Board taking over the service system. Provided that, if the Board taking over the service system does not wish to take such employees, or if the employees of the Corporation do not wish to work in that Board, the Corporation may assign such employees to other work of the Corporation or, on the basis of prescribed criteria, may retire such employees from service by providing facilities as prescribed, without reducing the facilities entitled to them under the law relating to their terms of service. 5D.3 The terms of service of employees deputed pursuant to Sub-section (5D.2) shall be as prescribed. Provided that, the remuneration and facilities of employees so deputed shall not be less than the remuneration and facilities being provided by the Corporation at the time of deputation. 6. Right to Collect Tariffs and Service Fees:

6.1 The Corporation may collect from the concerned person the tariff chargeable for providing drinking water

and the service fee for drainage, tap connection, etc. Removed by the Third Amendment. 6.2 The period for paying the drinking water tariff and the service fee for drainage shall be as determined by the Corporation. 6.3 If such tariff and service fee are not paid within the period for payment pursuant to Sub-section (6.2), the Corporation may collect an additional fee of twenty-five to fifty percent from the person who does not pay the amount within such period. 6.4 If any consumer does not pay the tariff, service fee, additional fee or any other amount payable to the Corporation within the time determined by the Corporation, the Corporation may discontinue the drinking water and drainage facility provided to such consumer. 6.5 If the person whose facility has been discontinued pursuant to Sub-section (6.4) pays the new consumer fee and the outstanding amount pursuant to Sub-section (6.3), the Corporation may again make such facility available. 7.

Right to Enter Others' Houses or Lands: If it is necessary for a person authorized by the Corporation to enter another person's house or land in the course of the Corporation's work, such person may enter by giving prior notice to the person using such house or land at that time. Provided that, if there are reasonable grounds to suspect misuse or theft of drinking water, in the course of investigation, at times other than night time from sunset to sunrise, the Chairperson or an officer of the Corporation designated by him/her may enter without giving prior notice. 8. Constitution of Board of Directors: Amended by the Third Amendment. 8.1 For the operation, supervision and management of the functions of the Corporation, a Board of Directors consisting of the following members is constituted:- 8.1.1 A person designated or appointed by the Government of Nepal from among persons having experience in water supply management ? Chairperson 8.1.2 Representative (Gazetted First Class), Amended by the Some Nepal Acts Amendment Act, 2062. Ministry of Water Supply ? Member 8.1.3 Representative (Gazetted First Class), Ministry of Health and Population (looking after public health) ? Member 8.1.4 The chief of one municipality designated by the Government of Nepal from among the municipalities served by the Corporation ? Member 8.1.5 Two women representatives from among the consumer institutions engaged in the protection of consumer interests, designated by the Government of Nepal ? Member 8.1.6 One person designated by the Government of Nepal from among experts relating to drinking water quality ? Member 8.1.7 One person designated by the Government of Nepal from among institutions engaged in environmental conservation ? Member 8.1.8 Managing Director, Nepal Water Supply Corporation ? Member-Secretary 8.2 Removed by the First Amendment. 8.3 The Government of Nepal may, if it considers necessary, by notification published in the Nepal Gazette, make necessary additions, deletions or changes in the members of the Board of Directors. 8.4 The Committee may, if it considers necessary, invite any foreign or domestic expert or advisor to participate in a meeting of the Board of Directors as an observer. 9. Procedure Relating to Meetings of Committee: 9.1 A meeting of the Committee shall be held on such date, time and place as designated by the Chairperson as required. 9.2 If more than fifty percent of the total number of members of the Committee are present, the quorum for the meeting of the Committee shall be deemed to have been fulfilled.

9.3 The meeting of the Committee shall be presided over by the Chairperson, and in his/her absence, a member chosen by the members from among themselves shall preside over the meeting. 9.4 The opinion of the majority shall prevail in a meeting of the Committee, and in case of a tie, the Chairperson may cast a casting vote. 9.5 A decision of the Committee shall be certified by the Member-Secretary of the Committee. 9.6 Other procedures relating to the meeting of the Committee shall be determined by the Committee itself. Added by the First Amendment. 9A. Acts Not to be Invalid: No act of the Board of Directors shall be invalid only by reason of the vacancy of the office of any member of the Board of Directors. 10. May Constitute Sub-Committee: 10.1 The Committee may, as required, constitute various sub-committees for the smooth operation of its functions. 10.2 The Committee may, if it deems necessary, allow sub-committees constituted pursuant to Sub-section (10.1) outside the Kathmandu Valley to operate water supply plans on the basis of

financial and management autonomy. 11. Amended by the First Amendment. Arrangement of Chairperson and Managing Director: Amended by the First Amendment. 11.1 The Chairperson of the Corporation may be designated or appointed by the Government of Nepal. Amended by the First Amendment. 11.2 The Government of Nepal shall appoint the Managing Director of the Corporation. 11.3 The term of office of the Chairperson and Managing Director shall be as determined by the Government of Nepal. 11.4 Arrangements relating to the remuneration, terms of service and facilities of the Chairperson and Managing Director shall be as prescribed. 12. Provision Relating to Employees: 12.1 The Corporation may appoint employees as required. 12.2 Arrangements relating to the remuneration, terms of service and facilities of the employees of the Corporation shall be as prescribed. 13. Prohibition on Members of Committee and Employees of Corporation: Members of the Committee, employees and advisors of the Corporation shall not become directly or indirectly interested in contracts or leases with the Corporation. 14. Fund of Corporation: 14.1 There shall be a separate Fund of the Corporation.

The following amounts shall be kept in such Fund:- 14.1.1 Amount received from the Government of Nepal, 14.1.2 Amount received through the Government of Nepal from any foreign government or international or foreign institution, 14.1.3 Amount accruing from the movable and immovable property of the Corporation, 14.1.4 Tariffs and service fees received for providing drinking water or drainage facility, and amounts of additional fees and fines, 14.1.5 Amount received from any other source for the Corporation. 14.2 All amounts of the Corporation shall be deposited in an account opened in the name of the Corporation in the Nepal Rastra Bank or any commercial bank. 14.3 All expenses to be borne on behalf of the Corporation shall be borne from the Fund pursuant to Sub-section (14.1). 14.4 The operation of the account of the Corporation shall be as prescribed. 15. Accounts and Audit of Corporation: 15.1 The accounts of the Corporation shall be kept in the form and manner determined by the Committee with the approval of the Government of Nepal. 15.2 The audit of the Corporation shall be conducted by the Office of the Auditor General. 15.3 The Government of Nepal may, if it so desires, inspect or cause to inspect the account related documents and cash or kind of the institution at any time. 16. Acquisition of Land: 16.1 The Government of Nepal may, for the following purposes, acquire and provide necessary land for the Corporation pursuant to the prevailing law:- 16.1.1 To construct a reservoir, 16.1.2 To construct any structure relating to drinking water and drainage, 16.1.3 To carry out other works necessary for the fulfillment of the objectives of the Corporation. 17. May Lay Pipelines Through Public or Private Houses or Lands: 17.1 While implementing a plan relating to drinking water and drainage, if it is necessary to lay a drinking water or drainage pipeline through a public or any private house or land and take it from one place to another, the Corporation may lay the pipeline according to the same plan. 17.2 While laying a drinking water or drainage pipeline pursuant to Sub-section (17.1), the Corporation shall lay the pipeline causing as little damage as possible to the public or any private house or land.

17.3 The Corporation shall pay compensation according to the prevailing rate to the house or land owner for the damage caused while laying a drinking water or drainage pipeline pursuant to Sub-section (17.1), or shall repair the damaged house or land and restore it to its original condition. 18. Prohibition on Acts: 18.1 No person shall do or cause to do any of the following acts:- 18.1.1 To damage, break, or cause any kind of harm to a drinking water source, reservoir, or any other structure relating to drinking water and drainage, Amended by the Some Nepal Laws Amendment, Consolidation, Adjustment and Repeal Act, 2074. 18.1.2 To pollute drinking water or a drinking water source, 18.1.3 To install a tap from the drinking water pipeline without the permission of the Corporation, 18.1.4 To consume water by removing the drinking water meter without notifying the Corporation, 18.1.5 To draw water by installing any device from the drinking water pipeline, 18.1.6 To break or damage a drinking water meter, 18.1.7 To connect a drainage outlet to the

Corporation's sewer line without the approval of the Corporation, or to throw or place any solid substance into the sewer so as to block it, 18.1.8 To steal, damage, destroy, or cause harm to a drinking water or drainage pipeline managed by the Corporation, 18.1.9 To break, damage, or cause any kind of harm to a drainage outlet or manhole, 18.1.10 To obstruct or oppose the functions of the Corporation relating to drinking water and drainage. Added by the First Amendment. 18.1.11 To carry out any construction work that may cause damage to a pipeline laid for water distribution or drainage. 19. Penalty: 19.1 A person who does or causes to do an act contrary to Sub-section (18.1.1) shall be liable to recovery of the loss, and a fine of up to ten thousand rupees, or imprisonment for up to five years, or both. Added by the Some Nepal Laws Amendment, Consolidation, Adjustment and Repeal Act, 2074. 19.1A A person who does or causes to do an act contrary to Sub-section (18.1.2) shall be liable to imprisonment for up to three years, or a fine of up to thirty thousand rupees, or both. 19.2 The Corporation or any sub-committee designated by the Corporation pursuant to Section 10 may impose a fine as follows on a person who does or causes to do the following acts:- 19.2.1 Removed by the Some Nepal Acts Amendment Act, 2062.

19.2.2 For doing or causing to do an act contrary to Sub-section (18.1.3), a fine of up to five thousand rupees, 19.2.3 For doing or causing to do an act contrary to Sub-section (18.1.5) or (18.1.6), a fine of up to three thousand rupees, 19.2.4 For doing or causing to do an act contrary to Sub-section (18.1.7), a fine of up to two thousand rupees, 19.2.5 For doing or causing to do an act contrary to Sub-section (18.1.8) or (18.1.9), a fine equal to the loss of the stolen, damaged or destroyed item, and an additional fine of up to two thousand rupees, 19.2.6 For doing or causing to do an act contrary to Sub-section (18.1.4) or (18.1.10), a fine of up to one thousand rupees, 19.2.7 For any person, other than as mentioned above, doing or causing to do any act contrary to this Act or the regulations made under this Act, a fine of up to one thousand rupees considering the nature of the offence. Added by the First Amendment. 19.3 The Corporation may impose a fine of up to five thousand rupees on a person who does or causes to do an act contrary to Sub-section (18.1.11), and the Corporation may demolish such construction work itself or cause the person who built it to demolish it. If the Corporation has to demolish it itself, the Corporation shall recover the cost incurred in the demolition from the concerned person. 20. Appeal: A person dissatisfied with an order of punishment given pursuant to Sub-section (19.2) may, within thirty-five days from the date of receipt of such order of punishment, file an appeal in the concerned High Court, and the decision of the High Court shall be final. 21. Recovery as Government Arrears: From a person who does not pay the tariff, service fee, additional fee imposed under this Act, and the amount of fine imposed by the Corporation or sub-committee pursuant to Section 19, the Corporation may recover such tariff, service fee, additional fee and fine amount as government arrears. 22. Delegation of Powers: 22.1 The Committee may, as required, delegate the powers vested in it under this Act or the Added by the First Amendment. rules or regulations made under this Act to the Chairperson, any member of the Committee, or a sub-committee. 22.2 Amended by the First Amendment.

The Chairperson or the Managing Director may, as required, delegate the powers vested in them to any authorized employee of the Corporation. 23. Government of Nepal May Give Directions: The Government of Nepal may give directions to the Corporation from time to time. It shall be the duty of the Corporation to comply with such directions. 24. Power of Government of Nepal: 24.1 If the Corporation does or attempts to do any act contrary to this Act, the Government of Nepal may give an order to stop such act. 24.2 If the Government of Nepal determines that the work required to be done by the Corporation has been completed, or that the Corporation has not complied with the work, duty or order or direction to be performed by itself, or that it is not necessary to maintain the Corporation, the Government may dissolve the Corporation at any time. 24.3 If the Corporation is dissolved pursuant to Sub-section (24.2), the rights and liabilities of such Corporation shall devolve upon the Government of Nepal. 25. Contact with Government of Nepal: When

contacting the Government of Nepal, the Corporation shall do so through Amended by the Some Nepal Acts Amendment Act, 2062. the Ministry of Water Supply. Added by the First Amendment. 25A. Power to Make Rules: The Government of Nepal may make necessary rules to implement the objectives of this Act. 26. Power to Make Regulations: The Corporation may, subject to this Act, with the approval of the Government of Nepal, make necessary regulations to systematize its internal functions. 27. Dissolution: (1) After the commencement of this Act, the Water Supply and Drainage Institution established by the notification of the Government of Nepal, Ministry of Water Resources, published in the Nepal Gazette Part 3, Volume 34, Number 14 dated 2041 Shrawan 1, shall be dissolved. (2) The functions being performed by the Institution dissolved pursuant to Sub-section (1) and the rights and liabilities of that Institution shall devolve upon the Corporation established under this Act. (3) The employees working in the Institution dissolved pursuant to Sub-section (1) shall devolve upon the Corporation established under this Act.